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Solution

Dr. **Trading account for the year ended 31st December, 2017** **Cr.**

Particulars	`	`	Particulars	`	`
To Opening stock		50,000	By Sales:		
To Cost of goods			Cash	85,000	
manufactured		12,000	Credit	60,000	
To Purchases:				1,45,000	
Cash	60,000		Less: Sales returns	3,000	1,42,000
Credit	35,000		By Gross loss c/d		**45,000**
	95,000				
Less: Purchases returns	2,000	93,000			
To Carriage inwards		4,000			
To Coal and fuel		2,500			
To Dock charges on					
Purchases		4,000			
To Import duty on					
Purchases		3,500			
To Wages		11,000			
To Other direct expenses		7,000			
		1,87,000			1,87,000

Note: Freight outwards will not appear in trading account as it is not a direct expense.

Illustration 6

Compute cost of goods sold from the following information:

Particulars	`
Opening stock	8,000
Purchases	60,000
Direct expenses	5,000
Indirect expenses	6,000
Closing stock	9,000

Solution

Cost of goods sold = Opening stock + Net purchases + Direct expenses – Closing stock

= 8,000 + 60,000 + 5,000 – 9,000

= ` 64,000

Note: Indirect expenses do not form part of cost of goods sold.